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No. 95-354

Supreme Court, U.S.

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In The
Supreme Court of the United States
October Term, 1995

—◆—
JAMES O'CONNOR,

Petitioner,

vs.

CONSOLIDATED COIN CATERERS CORP.,

Respondent.

—◆—
On Writ Of Certiorari
to the United States Court Of Appeals
for the Fourth Circuit
—◆—

BRIEF FOR PETITIONER
—◆—

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QUESTION PRESENTED

Is a prima facie claim of age discrimination precluded by the fact that the employee who secures the job that the claimant was denied is within the class of persons protected against age discrimination?

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Opinions and Judgments Below

The district court opinion is reported at 829 F. Supp. 155 (W.D.N.C. 1993). It also appears in the Appendix to the Petition for Writ of Certiorari ("Pet. App.") at p. 24. The judgment of the district court appears at R. 59. The opinion of the circuit court is reported at 56 F.3d 542 (4th Cir. 1995). It also appears at Pet. App. 1. The Order on Petition for Rehearing with Suggestion for Rehearing *En Banc* appears at Pet. App. 36.

Grounds of Jurisdiction in this Court

This court has jurisdiction of this case pursuant to 28 U.S.C. § 1254(1). The judgment of the court of appeals was entered on June 8, 1995. Pet. App. 38. The Petition for Writ of Certiorari was filed on August 29, 1995.

Statute Involved

The Age Discrimination In Employment Act (ADEA), 29 U.S.C. § 621 *et seq.*, provides in pertinent part:

§ 623. Prohibition of age discrimination.

(a) Employer Practices. It shall be unlawful for an employer:

(1) to fail or refuse to hire or discharge any individual or otherwise discriminate against any individual with respect to his compensation, terms, conditions, or privileges of employment because of such individual's age.

§ 631. Age Limits.

- (a) Individuals at least 40 years of age. The prohibitions in this Act shall be limited to individuals who are at least 40 years of age.

Statement of the Case

James O'Connor, the Petitioner, worked for Respondent, Consolidated Coin Caterers Corp., from 1978 until he was terminated on August 9, 1990, at age 56. Respondent is principally engaged in the business of operating cafeterias and vending machines in industrial plants and office locations. Respondent is owned by, and operated as a division of, Canteen Corporation. Ed Williams was Respondent's President and Petitioner's direct supervisor, and also a Canteen Vice-President. Petitioner was, from his hire in 1978 until the end of 1989, the General Manager of "4Cs North", a region of Respondent headquartered in Burlington, North Carolina. "4Cs" is the colloquial name of Respondent. R. 55 ¶ 3.

Under Petitioner's management 4Cs North showed "significant improvement in [its] financial performance" in 1989. Williams Dep. II, 83.¹ Petitioner's job performance rating also increased significantly, from "competent minus" for 1988 to "commendable minus" for 1989. Petitioner earned an incentive bonus of \$37,000, which was the largest bonus awarded in the company that year. R. 55 ¶ 4 and attached Trial Ex. 3. However, 4Cs South,

¹ The Williams Deposition was filed May 10, 1993. It was not assigned a docket number.

another region of Respondent, headquartered in Charlotte, North Carolina, did not perform so well in 1989. In December 1989 Petitioner opted to accept Williams's offer of a transfer to 4Cs South as General Manager because he relished the challenge of turning that region around. R. 55 ¶ 5. Williams remained Petitioner's supervisor. Petitioner started work in Charlotte in early 1990. R. 55 ¶ 6. He told Williams that he expected it would take him about 18 months to make 4Cs South profitable. R. 55 ¶ 5.

Beginning on July 10, 1990 Williams began a two stage process that forced Petitioner out of his job. First, Williams assigned responsibility for a portion of 4Cs South to 4Cs North, decreasing Petitioner's territory. During the litigation Williams claimed that this change was made because of Petitioner's "slow responses in reacting to individual problem accounts" and his recent discovery that Petitioner "had not timely responded to a problem involving food delivery in unrefrigerated trucks." R. 48, attached Williams Affidavit ¶ 15. Williams's explanation published at the time, however, said that it was done "to allow a more even distribution of the present volume." R. 55, attached Trial Ex. 13. Petitioner could not respond as to particular alleged "problem accounts" because Williams did not identify the accounts; however, he stated that in his judgment he was proceeding as quickly as was advisable in undertaking the turnaround. Petitioner further explained the steps he had taken to get the trucks fixed, and his reprimand of the responsible manager about the delay in repairs. R. 55 ¶ 8. In any event Respondent made no claim that 4Cs South's financial condition was any worse than it had been when Petitioner arrived six months earlier. Williams Dep. II, 91.

Indeed, Williams conceded that Petitioner "made progress with individual accounts and 4Cs South made some improvement" during Petitioner's tenure. Pet. App. 12, 56 F.3d at 547.

Then, according to Williams in "mid to late July 1990", the President of Canteen Corporation instructed Williams to consolidate all Canteen and 4Cs operations in North and South Carolina into a single region run by Williams, and to combine the management responsibilities previously handled by Canteen's South Carolina Regional Vice President Ted Finnell, by Mike Kiser (Petitioner's replacement) in 4Cs North, by Petitioner in 4Cs South, and by Alan Hunter in Canteen's Raleigh-Greensboro operation. R. 48, attached Williams Affidavit ¶ 9. Williams testified he had not known of this reorganization when he reduced Petitioner's territory on July 10. *Id.* ¶ 17. However, Respondent presented no documents fixing the date of the instructions to consolidate. Then, on August 9, Petitioner was terminated and Alan Hunter, age 57, was demoted to commission salesman. 4Cs South and Canteen's South Carolina operation were combined under Ted Finnell, age 40, and Canteen's Greensboro-Raleigh operation and 4Cs North were combined under Mike Kiser, age 35. R. 55 ¶ 9.

Respondent's age-neutral explanation for the "coincidence" that led to Petitioner's discharge was belied by a series of remarks, interspersed throughout the consolidation process, that revealed severe animus against older employees. Thus, in late June, 1990, Petitioner and Williams were in a company conference room watching the Monday playoff of the U. S. Open Golf Tournament. Petitioner said he didn't think he could walk and play 18

holes of golf five days in a row. In response Williams said that Petitioner was "too old." Pet. App. 19, 56 F.3d at 549.

In the latter part of July, Williams came into Petitioner's office and said to him, "O'Connor, you are too damn old for this kind of work." In reply Petitioner said to the Human Relations Manager, who was seated in another office nearby but within earshot, "Allison, did you hear that?" In response Allison told Williams that he "shouldn't say things like that," and Williams then left Petitioner's office. R. 49, attached O'Connor Dep. I, 45-47. This conversation could have occurred immediately after Arts told Williams to reorganize: the directive from Arts could have occurred in "late July", R. 48, Williams Affidavit ¶ 9, and Petitioner testified that his conversation with Williams occurred "in the latter part of July." R. 49, attached O'Connor Dep. I, 46.

On August 7, 1990, two days before Petitioner was terminated, Petitioner and Williams and another employee were in a company car on company business. The other employee said he was about to turn 50. Williams said in response, "[i]t's about time we started to get some young blood in this company." Pet. App. 17, 56 F.3d at 549.

On the day after Petitioner was discharged, Williams called Philip Dennis, a 4Cs salesman, into his office.² Dennis asked why Petitioner was fired. Williams replied "that all of us were getting old, that [Petitioner] was

² The facts stated in this paragraph were presented to the District Court by Affidavit filed with Petitioner's Motion for New Trial. R. 61 (Motion), R. 63 (Affidavit).

getting old, and that there were three other persons around the office who were turning 50." R. 63, pp. 1-2. Four days later Williams called Dennis into his office and complained that Mike Kiser had reported that Dennis was telling people that Petitioner had been fired because he was too old. Dennis told Williams that he was just repeating what Williams had said. Williams made no reply. *Id.*

The 1989 performance rating for Finnell was "competent minus." R. 55, Ex. 8. Petitioner's 1989 rating was "commendable minus," a significantly better rating. Williams made both of these ratings. For the several years preceding Petitioner's termination he placed consistently higher within his salary class than did Finnell. R. 55, Exs. 1, 8.

Proceedings Below

Petitioner filed a complaint in the United States District Court for the Western District of North Carolina, claiming that he had been unlawfully and wilfully discharged from employment by Respondent in violation of the ADEA. R. 1, 3. The only defense tendered was that plaintiff's discharge was "based on reasonable factors other than age." R. 8, p. 2. After discovery the district court granted summary judgment for Respondent. R. 58.

The district court analyzed the case under both the *McDonnell Douglas* paradigm and traditional principles of proof. The court held that Petitioner had not satisfied the fourth element of the *McDonnell Douglas* prima facie case because he did not show that he was replaced by a person outside the protected class. Pet. App. 29, 829 F. Supp. at

158. Then, considering the case as involving a reduction in force, the court found that Petitioner had presented no "objective evidence that the employer has not treated age neutrally." Pet. App. 30, 829 F. Supp. at 158. The court then opined that under traditional principles of proof Petitioner had presented insufficient direct or indirect evidence of discriminatory motivation.

The circuit court affirmed. The court explained that under circuit precedent a prima facie case is stated only when the discharged plaintiff has been replaced by someone "outside the protected class", Pet. App. 10, 56 F.3d at 546, because the ADEA protects only employees over age 40 against age discrimination. This meant that Petitioner could state a prima facie case only if he was discharged in favor of an employee 39 years of age or younger. Thus, under the court's analysis, the fact that he had been fired at age 56 in favor of an individual "only" 16 years younger barred him from stating a prima facie case of age discrimination.

The court also held that Petitioner did not satisfy either the third or the fourth element of the reduction in force prima facie case, each of which involves considering the performance of employees who were retained rather than fired. Pet. App. 10-15, 56 F.3d at 546-48. The court concluded as a matter of fact that Williams had reduced Petitioner's territory on July 10 because of slow response to problem accounts and the unrefrigerated truck problem, and thus that Petitioner was "not a contender" for the August job. Pet. App. 12, 56 F.3d at 547.

The circuit court then analyzed Petitioner's direct and circumstantial evidence of discriminatory animus.

None of the invidious comments were found to have a sufficient "nexus" with the discharge. Pet. App. 15-19, 56 F.3d at 548-550.

Senior Judge Butzner concurred that Petitioner had failed to present a prima facie replacement case, but only because he considered himself bound by Fourth Circuit precedent. He opined that the requirement of a replacement from outside the protected class "has no justification in law or policy." He dissented from the conclusion that Petitioner's direct and circumstantial evidence failed to raise a triable issue. Pet. App. 20-23, 56 F.3d at 550-51.

Summary of Argument

Few employers admit to the discriminatory state of mind which is the ultimate issue in an employment discrimination case. The Court has therefore created a prima facie case which raises a presumption of employment discrimination, because it eliminates the most common reasons for adverse employer action. *McDonnell Douglas v. Green*, 411 U.S. 792 (1973) (Title VII). This inference of discrimination serves to call forth from the employer an articulation of its reasons for the adverse action. Some courts have, despite *McDonnell Douglas*, required in Title VII firing-and-replacement cases that employees show as part of the prima facie case that they were replaced by someone outside the protected class. The Fourth and Sixth Circuits, contrary to every other circuit, require a showing in ADEA cases that the replacement is outside the protected class, i.e., under age 40. These developments are unwarranted. *McDonnell Douglas* did not

require any showing of characteristics of the employee hired instead of the plaintiff, and an ADEA firing-and-replacement case is not distinguishable in terms of most common reasons for adverse employer action.

The establishment of the prima facie case should logically not include a requirement – discrimination in favor of a person too young to be protected by the ADEA – that would effectively create a new exception to the Act. The establishment of a prima facie case is only the first step in proving a violation of a particular statute. The ADEA prohibits discrimination "because of . . . age," 29 U.S.C. § 623(a)(1), not because of membership in a class of persons over 40 years of age. Thus a violation of the ADEA does not, unlike a violation of Title VII, turn on proof of a binary characteristic such as race or gender, but on age, which is a matter of degree. Replacement by a person either inside or outside the protected age group may therefore create an inference of age discrimination. The legislative history and the policy of the ADEA to protect all employees over age 40 also support this interpretation, while the Fourth Circuit rule is illogical: it allows a prima facie case to be made where a 40 year old is replaced by a 39 year old, but not when a 69 year old is replaced by that same 40 year old.

Petitioner easily meets the prima facie case requirements of *McDonnell Douglas*. Adding any requirement of a showing of characteristics of his replacement will only encourage the sort of analysis undertaken by the Fourth Circuit, which intensively discussed the characteristics of Petitioner's replacement and even the Respondent's articulated reasons for Petitioner's discharge as part of its prima facie case analysis. This course of proceeding is at

odds with the minimal burden of making a prima facie case and the three-step proof scheme of *McDonnell Douglas*.

Argument

A prima facie case of age discrimination is not precluded by the fact that the employee who secures the job that the claimant was denied is within the class of persons protected against age discrimination.

Nearly 30 years after the ADEA was passed in 1967, it is the rare supervisor – no matter how prejudiced – who is so incautious as to tell an employee who has just been fired that the reason for the discharge is that the employee is too old, any more than employers tell workers that they are being fired for being black, Jewish or female. Instead, employers who want to be rid of older employees normally invent a reason or reasons, relating to the employee's alleged inability to perform the functions of the job, which although purportedly neutral are a pretext for discriminatory animus. As Circuit Judge Posner has explained in a Title VII case,

Because most employment decisions involve an element of discretion, alternative hypotheses (including that of simple mistake) will always be possible and often plausible. Only the very best workers are completely satisfactory, and they are not likely to be discriminated against – the cost of discrimination is too great. The law tries to protect average and even below-average workers against being treated more harshly than would be the case if they were of a different

[protected class], but it has difficulty achieving this goal because it is so easy to concoct a plausible reason for not hiring, or firing, or failing to promote, or denying a pay raise to, a worker who is not superlative.

Riordan v. Kempiners, 831 F.2d 690, 697-698 (7th Cir. 1987). For this reason, the task of the fact-finder in most age discrimination cases, as in other kinds of discrimination cases, is to sort through various pieces of circumstantial evidence, including generalized expressions of animus (if the plaintiff is fortunate enough to be able to discover them), relative qualifications of the fired and the unfired, statistical evidence and the like, from which discriminatory motive may be inferred.

Because the resolution of circumstantial cases is so central to the effectuation of national anti-discrimination policy, this court's formulation of the burden-shifting scheme of *McDonnell Douglas Corp. v. Green*, 411 U.S. 792 (1973), *Texas Dep't of Cmnty. Affairs v. Burdine*, 450 U.S. 248 (1981), and their progeny has assumed increasing significance.³ In *McDonnell Douglas*, where the plaintiff claimed

³ This Court has never addressed the manner in which a trial court should go about deciding whether circumstantial evidence shows that intentional discrimination based on age has occurred. However, because the ADEA and Title VII are similarly worded, and because of the similarities between their underlying policies and their substantive requirements, see *Lorillard v. Pons*, 434 U.S. 575, 584 (1978), the lower courts unanimously and routinely hold that the *McDonnell Douglas* scheme of presumptions and burden-shifting applies under the ADEA as well. E.g., *Roper v. Peabody Coal Co.*, 47 F.3d 925, 926 (7th Cir. 1995); *Douglas v. Anderson*, 656 F.2d 528, 532 (9th Cir. 1981). See also *Patterson v. McLean Credit Union*, 491 U.S. 164, 186 (1989)

that he had suffered a discriminatory refusal to rehire based on his protests against alleged Title VII violations, the court held that a plaintiff establishes a prima facie case by

showing (i) that he belongs to a racial minority; (ii) that he applied for and was qualified for a job for which the employer was seeking applications; (iii) that, despite his qualifications, he was rejected; and (iv) that, after his rejection, the position remained open and the employer continued to seek applications from persons of complainant's qualifications.

411 U.S. at 802.

Assuming that the plaintiff can establish this prima facie case, the burden shifts to the employer "to articulate some legitimate, nondiscriminatory reason for the employee's rejection." *Id.* Finally, assuming that the employer can articulate such a reason, the burden then shifts back to the plaintiff to prove that, notwithstanding the arguable, articulated reason, the real reason for the adverse action was forbidden discrimination. *Id.* at 804.

Since *McDonnell Douglas* was decided, the Court's cases on the subject have been primarily devoted to formulating the consequences of the establishment of a prima facie case – what the defendant and plaintiff must do at steps two and three of the burden-shifting scheme, and how the finder of fact should analyze the resulting

(*McDonnell Douglas* approach applies to suits under 42 U.S.C. § 1981); *Newman v. GHS Osteopathic*, 60 F.3d 153, 157 (3d Cir. 1995) (*McDonnell Douglas* applies to disability discrimination cases).

proofs. But the Court's cases have repeatedly described the function of the prima facie case in ways that help determine the necessary content of that case.

Thus, the Court has emphasized that the sole function of the prima facie case is "progressively to sharpen the inquiry into the question of intentional discrimination," *Watson v. Ft. Worth Bank & Trust*, 487 U.S. 977, 986 (1988), by eliminating the most common nondiscriminatory reasons for the discharge of an individual in a protected class: an absolute or relative lack of qualifications and the absence of a vacancy in the job sought. *Burdine*, 431 U.S. at 254 (citing *Teamsters v. United States*, 431 U.S. 324, 358 and n.44 (1977)). Having served this function, the prima facie case raises merely an "inference of discrimination" because it may be presumed that, if there is no explanation for the facts, it is more likely than not that the decision was based on impermissible criteria. *Burdine*, 431 U.S. at 254 (quoting *Furnco Constr. Corp. v. Waters*, 438 U.S. 567, 577 (1978)). Once the inference is created, the employer need do no more than produce "some evidence" that it had a legitimate, nondiscriminatory reason for its decision; this is only a burden of production, not a burden of proof. *Watson*, 487 U.S. at 986. And, most important, the burden of proving discrimination rests at all times on the plaintiff, *id.*; once the employer's burden of production has been met, the presumption furnished by the prima facie case vanishes, and the question is whether, considering all the evidence, the plaintiff has proved his case by a preponderance of the evidence. *St. Mary's Honor Center v. Hicks*, 113 S. Ct. 2742, 2749 (1993).

The Court has repeatedly emphasized that, precisely because the burden imposed on the defendant by the establishment of a prima facie case is relatively small, the requirements for establishing a prima facie case are "not onerous," *Burdine*, 450 U.S. at 253, even "minimal." *St. Mary's*, 113 S. Ct. at 2747. Nor is the methodology to be applied in a rigid, mechanized, or ritualistic fashion. *Id.* at 2753 (quoting *Postal Service Bd. of Governors v. Aikens*, 460 U.S. 711, 715 (1983)).

The decision below represents the culmination of two developments in some of the lower courts that represent precisely the sort of ritualistic application of *McDonnell Douglas* against which this Court has repeatedly warned. First, a few courts of appeals have, in the course of describing the requirements of a prima facie Title VII case, stated that the plaintiff must prove that the person who obtained the job after he was denied it or removed from it must have been "outside the protected class." E.g., *Ang v. Proctor & Gamble*, 932 F.2d 540, 548 (6th Cir. 1991). *Contra*, *Davenport v. Riverview Gardens School Dist.*, 30 F.3d 940, 944-945 (8th Cir. 1994). Applying this new requirement strictly to the context of age discrimination, as if it were part of the statute itself, the Fourth and Sixth Circuits have then ruled (in opposition to every other circuit) that, because the class that is protected by the ADEA is persons at least 40 years of age, if the plaintiff was replaced by someone not younger than 40, there is no prima facie case. E.g., *LaPointe v. UAW Local 600*, 8 F.3d 376, 379 (6th Cir. 1993).⁴

⁴ The court of appeals cases are collected in *Rinehart v. City of Independence*, 35 F.3d 1263, 1266 and n.2 (8th Cir. 1994), and at Pet. App. 21-22, 56 F.3d at 551 (Butzner, J., dissenting). It is

Neither aspect of this new gloss on the *McDonnell Douglas* prima facie case is warranted. To be sure, there have been cases under *McDonnell Douglas* in which part of the plaintiff's proofs in support of a prima facie case have included the fact that the job for which the plaintiff was not hired, or from which the plaintiff was removed, was ultimately filled by an individual who did not belong to the protected class. E.g., *St. Mary's*, 113 S. Ct. at 2747 (reciting findings from district court opinion); *Marshall v. Goodyear Tire & Rubber Co.*, 554 F.2d 730 (5th Cir. 1977). But the Court has repeatedly accepted the proposition that a prima facie case may exist without any regard for the identity of the replacement employee. For example, in *McDonnell Douglas* itself, the employer failed to hire a qualified black employee, and then continued to look for employees of similar qualifications; the Court held that this was sufficient to make out the prima facie case. The prima facie case there did not depend on the race of the employees actually hired. And more recently, in *St. Mary's*, the Court set forth a hypothetical in which a black employee was discharged from a workforce whose minority fraction was far larger than the minority fraction of the population as a whole, and the firing decision was made by a black supervisor to boot. The Court recognized that these facts, which did not include any reference to the race of the employee who was hired instead of the

worth noting in this regard that some courts of appeals, although initially establishing a requirement of replacement by a non-member of the protected class, retreated from that formulation of the prima facie case when they recognized its absurd implications in the age context. E.g., *Kralman v. Illinois Department of Veterans' Affairs*, 23 F.3d 150 (7th Cir. 1994).

plaintiff, would make out a prima facie case. 113 S. Ct. at 2750-2751.

A prima facie case is a presumption, a subset of circumstantial evidence which alters, in favor of the plaintiff, the normal requirements of circumstantial proof. This is done for reasons of probability, *Furnco*, 438 U.S. at 577, and from considerations of relative access to proof and the need to effectively implement the national anti-discrimination policy, see, *McCormick on Evidence*, § 343, vol. 2 at 454-455 (4th ed. 1992). These reasons are sufficiently similar in a replacement case and a failure to rehire case such as *McDonnell Douglas* that the same prima facie showing should obtain in each case. Any requirement that characteristics of the replacement be shown as part of the prima facie case will in effect abolish the presumptive character of the prima facie case, and leave discrimination complainants with the very burden of making out a traditional circumstantial evidence case that it was the purpose of the prima facie case to remove.

It is not at all surprising that a prima facie case would not include any reference to the protected status of the replacement employee. After all, an employer may rid itself of a member of a class protected by law against discrimination, for reasons of age animus, only to discover that, for various reasons, it cannot get a satisfactory replacement for the time being from outside the protected class; the discharged individual nevertheless has a cause of action for discrimination. To be sure, the fact that a new employee belongs to the same class as the eliminated employee would be probative in consideration of the employer's contention that it lacked invidious motivation. But the function of the prima facie case is not to

make the final determination, but simply to move the case to the next stage of analysis, where the employer must put forward its legitimate reasons for action.

But even if the replacement employee's nonmembership in the protected class were ordinarily a proper part of the *McDonnell Douglas* prima facie case in cases of race or gender discrimination, it would make no sense whatsoever to import the same consideration into age discrimination cases. After all, age, unlike race or gender, is not a binary characteristic. If a plaintiff alleges that she was fired because she is female, her replacement must either be female or not female. If the allegation is of discrimination against blacks, the replacement is either black or not. The same is not, however, true with respect to age discrimination, because age is a matter of degree. A 68 year old manager may be replaced by a 25 year old, a 39 year old, or a 45 year old – in each case the manager has been replaced with someone substantially younger. Assuming the two employees have similar qualifications, an inference is created that the explanation for the different treatment is age.

Of course, if the statute specified a binary characteristic, by forbidding discrimination on the basis of membership in the class of employees who are between 40 and 70 years old, then such evidence of age discrimination might not be sufficient to create a prima facie case. The language of the statute, however, does not permit such a construction. Section 4 of the ADEA, 29 U.S.C. § 623(a), provides that

It shall be unlawful for an employer

- (1) to . . . discharge any individual . . . because of such individual's age

Section 12 of the ADEA, 29 U.S.C. § 631, entitled "Age limits," provides

- (a) Individuals at least 40 years of age.

The prohibitions in this chapter shall be limited to individuals who are at least 40 years of age.

This language precludes the rule adopted by the courts below. What Section 623 makes unlawful is adverse treatment, including discharge, "because of such individual's age." Under Section 623, such discrimination is prohibited regardless of the age of the *person who benefits* from the discrimination. The statute does make it relevant whether the *individual claiming discrimination* is over age 40, because under Section 631 only persons over age 40 may claim discrimination. But even Section 631 does not purport to authorize discrimination in favor of persons at the younger end of the protected range of ages.

The language of the ADEA supports Petitioner's position in yet another way. Section 4(f) of the statute, 29 U.S.C. § 623(f), creates a number of exceptions to the general rule against discrimination on the basis of age. For example, an employer does not violate the ADEA by following a bona fide seniority system, 29 U.S.C. § 623(f)(2)(A), or by making certain kinds of payments under an employee benefit or early retirement incentive plan that meets various specific requirements. 29 U.S.C. §§ 623(f)(2)(B), 623(i), 623(1). And the employer is expressly authorized by 29 U.S.C. § 631(c) to compel

retirement by employees over 65 who hold bona fide executive or high policy-making positions, so long as their retirement benefits have a minimum value. The very fact that Congress, when it saw a need for exceptions to the ADEA's rule against discrimination, was perfectly capable of enacting statutory language in quite detailed terms, strongly suggests that it did not intend to have the courts craft an additional exception allowing discrimination whenever the favored employee is within the same protected class as the discrimination complainant.

That Congress deliberately structured the ADEA to protect older members of the protected class against younger members of that class is also clear from the legislative debates that preceded passage. Thus, when the ADEA was introduced in the Senate, Senator Javits stated:

Section 4 of the Bill specifically prohibits discrimination against any "individual" because of his age. It does not say that the discrimination must be in favor of someone younger than age 40. In other words, if two individuals ages 52 and 42 apply for the same job and the employer selected the man age 42 . . . because he is younger than the man age 52, then he will have violated the act. . . .

113 Cong. Rec. 31,255 (1967).

Senator Yarborough, the floor manager of the bill, expressly agreed with this analysis. *Id.*

Moreover, a long-standing regulation of the Equal Employment Opportunity Commission has incorporated this analysis. According to 29 C.F.R. § 1625.2(a),

It is unlawful in situations where this Act applies, for an employer to discriminate in hiring or in any other way by giving preference because of age between individuals 40 and over.

Because the EEOC is the agency charged by Congress with enforcing the ADEA, and because it is specifically charged by statute with promulgating rules and regulations for this purpose, 29 U.S.C. § 628, this regulation is entitled to deference by the courts. *Chevron, U.S.A., Inc. v. Natural Resources Defense Council*, 467 U.S. 837, 844 (1984). The proposition that only discrimination in favor of persons younger than 40 can state a prima facie case is flatly inconsistent with this authoritative interpretation.

Nor would a requirement that discrimination be against persons younger than age 40 make any sense as a matter of policy. After all, many jobs, especially managerial and professional jobs, require the sort of experience that only employees over 40 are likely to have. Even an employer with clear anti-age animus is unlikely to be able to find an employee under 40 to fill such a job. "If no intra-age group protection were provided by the ADEA, it would be of virtually no use to persons [in such] jobs." *Maxfield v. Sinclair Int'l*, 766 F.2d 788, 792 (3d Cir. 1986).

Indeed, such a rule would be extremely illogical. If the object is to prevent employment decisions based on age animus, it is irrational to decide that a prima facie case is created when an employee who has just celebrated his 40th birthday is replaced by a 39 year old who has similar qualifications, but not when a 69 year old who also has similar qualifications is replaced by that same 40 year old.

Turning to the facts of this case, O'Connor has easily established a prima facie case of age discrimination. He meets the first *McDonnell Douglas* criterion because he was 56 years old when he was discharged, and so is within the class of workers protected against age discrimination. He meets the second criterion because he was qualified for the job that he was denied, as shown by his history of successful performance as a General Manager (and particularly in 1989), and the fact that 4Cs South improved under his leadership. He meets the third criterion because he did not get the job. He meets the fourth criterion because the employer continued to seek to fill the job with a comparable person. This showing eliminates the most common reasons for termination equally as well as the *McDonnell Douglas* showing did for the failure to hire involved there. In both cases there was an available job and a qualified protected worker did not get it.

The prima facie case is the initial showing by the employee, sufficient merely to require an explanation. Importing into it a requirement of showing characteristics of the replacement, or other evidence of discrimination, will compromise its simplicity and invite making it the battleground for the whole case. The present case is a good example of how the lower courts have allowed prima facie case analysis to be swallowed by the employer's rebuttal showing. Because Respondent reduced from four to two the number of persons doing General Manager work, the panel majority alternatively applied its reduction in force prima facie case, which requires consideration of Petitioner's performance as

compared to retained employees. Pet. App. 10-11, 56 F.3d at 546.

Accordingly, the court undertook an intensive analysis, such as is typically undertaken in deciding summary judgment motions, of Williams's reasons for reducing Petitioner's territory and Petitioner's performance as compared to Finnell's performance. Pet. App. 11-15, 56 F.3d at 546-48. Based on this analysis the court concluded that the July reduction in territory doomed Petitioner from receiving the August job. The court resolved several material disputed issues of fact in reaching this result, most notably by concluding that Williams did not consider Petitioner's performance in selecting for the August job, Pet. App. 12, 56 F.3d at 547. Williams's own testimony contradicted this conclusion: "In making my management selections [for the two jobs], I considered the capabilities of . . . Finnell and [Kiser, Hunter and Petitioner]". R. 48, Williams Affidavit ¶ 13. This course of proceedings collapsed step two of the paradigm into step one, while removing step three from consideration altogether.

All the circuit courts except the Fourth and Sixth Circuits have rejected the "replacement under 40" requirement. Pet. App. 21-22, 56 F.3d at 551 (Butzner, J., dissenting). All of these courts except the First Circuit require a showing that the replacement was younger; but in wrestling with the question of how much younger, several courts have been driven to a position that effectively abandons giving any presumptive effect to the prima facie case and retreats to the traditional rule on circumstantial evidence. See, e.g., *Sempier v. Johnson & Higgins*, 45 F.3d 724, 728 (3d Cir. 1995) ("a sufficiently

younger person to create an inference of age discrimination"); *Roper v. Peabody Coal Co.*, 47 F.3d 925, 927 (7th Cir. 1995) ("the disparity in age within the protected class must be sufficient to create a reasonable inference of age discrimination"). These formulations effectively abolish presumptive proof by making it the equivalent of circumstantial proof. The *McDonnell Douglas* scheme thereby becomes just a format for deciding whether enough circumstantial evidence has been presented, rather than a simply satisfied presumption that requires an explanation from the employer.

Conclusion

The judgment of the United States Court of Appeals for the Fourth Circuit should be reversed.

Respectfully submitted,

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December 28, 1995

RESPONDENT'S

BRIEF

(11)

No. 95-354

Supreme Court, U. S.

FILED

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CLERK

**IN THE
SUPREME COURT OF THE UNITED STATES**

October Term, 1995

JAMES O'CONNOR,

Petitioner,

V.

CONSOLIDATED COIN CATERERS CORP.,

Respondent.

**On Writ of Certiorari
to the United States Court of Appeals
for the Fourth Circuit**

BRIEF FOR RESPONDENT

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QUESTION PRESENTED

Can a plaintiff satisfy a prima facie case of illegal age discrimination under the ADEA merely by showing that he was replaced by a younger person, even though the alleged replacement was himself within the protected age class?

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STATEMENT OF THE CASE

Petitioner, James O'Connor, sued his former employer, Consolidated Coin Caterers Corporation (hereinafter "Respondent"), alleging that as a result of its August 1990 reorganization, Respondent unlawfully discharged him due to his age, in violation of the Age Discrimination in Employment Act of 1967, as amended, 29 U.S.C. §§ 621-634 (hereinafter "the ADEA"). After extensive discovery, Respondent moved for summary judgment. The district court granted the motion, holding that Petitioner had not presented sufficient evidence to support a prima facie case of age discrimination. (R. 58.) The United States Court of Appeals for the Fourth Circuit affirmed the trial court. This Court granted certiorari, but limited its review to whether Petitioner could satisfy a prima facie case of age discrimination by showing that he was replaced by a younger person, even though the alleged replacement was himself 40 years old and, therefore, within the protected age class.

Respondent is a vending and food services company, which, although separately incorporated, was wholly owned by, and functioned as an operating division of, Canteen

Corporation.¹ (R. 48, Williams Aff. ¶ 3.) Petitioner began working for Consolidated in 1978. (R. 55 ¶ 2.) Just prior to his termination, he held the position of District Manager for Consolidated's South District, reporting to Ed Williams,² the Regional Vice President in charge of Consolidated's North Carolina operations. (R. 48, Williams Aff. ¶ 6.) Williams also supervised a Canteen district covering Raleigh and Greensboro, North Carolina, managed by Allen Hunter, and Consolidated's North District, managed by Mike Kiser, which included a number of territories in North Carolina and one territory in South Boston, Virginia. (R. 48, Williams Aff. ¶ 6.)

Petitioner's last performance review, covering 1989, was "commendable minus." (R. 55 ¶ 4.) However, Williams subsequently reduced Petitioner's territories in early July 1990, reassigning one-half of his territories to Kiser because of Petitioner's slow response to problem accounts.

¹ In accordance with Supreme Court Rule 29.1, Consolidated Coin Caterers Corp. is a wholly-owned subsidiary of Canteen Corporation.

² Williams was almost 50 years old when O'Connor's employment ended in August 1990. Williams' date of birth is October 26, 1940. (R. 48 ¶ 1.)

(R. 48, Williams Aff. ¶¶ 15, 17, 18.)³ Williams also discovered at about that same time that Petitioner had failed to respond timely to a problem involving the delivery of food in unrefrigerated trucks. (R. 48, Williams Aff. ¶¶ 15, 17, 18) After Williams reduced Petitioner's territories, Williams' superior, Ted Arts, President of Canteen's Central Division, informed Williams that the North Carolina region would be consolidated with Canteen's South Carolina region, which was then managed by Ted Finnell, a Regional Vice President. (R. 48, Williams Aff. ¶¶ 5, 7, 8.) Arts selected Williams to manage the consolidated "Carolinas Region" and instructed him to restructure the management responsibilities previously handled by Finnell and the three North Carolina district managers into a more streamlined organization. (R. 48, Williams Aff. ¶ 9.) Williams then combined the two (2) regions into two (2) large districts: a "South District" consisting of Finnell's South Carolina region, O'Connor's remaining territories and the three (3) territories previously reassigned from O'Connor to Kiser; and a "North District",

³ Petitioner did not claim that this reassignment was based on his age. In fact, Petitioner's deposition testimony confirmed that he only claimed that his later termination was illegally motivated, and limited his EEOC charge accordingly. (R. 48, Deposition of Petitioner at 7-9.)

which consolidated Kiser's and Hunter's previous territories. (R. 48, Williams Aff. ¶¶ 10, 11.)

Williams selected Finnell to supervise the South District and Kiser to supervise the North District. (R. 48, Williams Aff. ¶¶ 12, 13, 14.) Finnell had been a Regional Vice President and his qualifications to supervise a large territory were well known to Williams, who had directly supervised him for many years before Finnell's promotion to Vice President. (R. 48, Williams Aff. ¶ 13.) Kiser also had shown that he was a capable performer. In fact, he was assigned responsibility for half of Petitioner's territories concurrently with the Petitioner's July 1990 reduction of assigned territories. (R. 48, Williams Aff. ¶ 14.)

Petitioner was not selected for either new District position. These Districts were significantly larger in numbers of accounts and employees and Petitioner's territories had just recently been reduced because of Williams' concerns over Petitioner's performance. (R. 48, Williams Aff. ¶ 15.) As a result of the elimination of Petitioner's job in this consolidation, Petitioner's employment ended. Although Hunter's management position also was

eliminated, he was not terminated or demoted; rather, he was assigned to a sales position. (Williams Dep. II at 102.)⁴

In reviewing the judgment of the district court, the Fourth Circuit conducted a plenary examination of whether Petitioner had shown sufficient evidence of age discrimination. The circuit court held that Petitioner could meet this burden either by employing an incremental proof scheme articulated for Title VII cases in McDonnell Douglas Corp. v. Green, 411 U.S. 792 (1973), and modified for cases like the present one, or by ordinary standards of proof, employing either direct or circumstantial evidence relevant to and sufficiently probative of the issue of intentional age discrimination. That court concluded, however, that Petitioner's evidence failed to state a claim under either approach.

The circuit court employed two (2) different modifications of the McDonnell Douglas model. Because Petitioner claimed that Finnell had been retained in his job,⁵

⁴ Mr. Williams' Deposition was filed with the district court on May 10, 1993. It was not assigned a docket number.

⁵ The record evidence unequivocally establishes that Finnell did not simply "replace" Petitioner. Petitioner's last job assignment consisted (continued...)

the circuit court applied a prima facie test adapted for a termination/replacement scenario. Under that test, Petitioner was required to show:

(1) [he] is in the protected age group; (2) [he] was discharged or demoted; (3) at the time of discharge or demotion, [he] was performing his job at a level that met his employer's legitimate expectations; and (4) following his discharge . . . [he] was replaced by someone of comparable qualifications outside the protected class.

O'Connor v. Consolidated Coin Caterers Corp., 56 F.3d 542, 546 (4th Cir. 1995) (bracketed language in original). The court held that the evidence failed to satisfy a prima facie case under this test because Petitioner's alleged replacement was not outside the protected class. Id. at 546.

The circuit court also evaluated Petitioner's case utilizing a McDonnell Douglas model adapted to a reduction-in-force case. Where a plaintiff does not rely on the age

³(...continued)
of managing three (3) North Carolina territories. (R. 48, Williams Aff. ¶ 6.) After the consolidation, Finnell kept all of the Company's South Carolina territories he had managed before and was assigned six (6) additional territories in North Carolina, only three of which had been managed by Petitioner just prior to the consolidation. (R. 48, Williams Aff. ¶ 11.)

characteristic of a replacement, the alternative test would require a plaintiff to demonstrate:

(1) the employee was protected by the ADEA; (2) he was selected for discharge from a larger group of candidates; (3) he was performing at a level substantially equivalent to the lowest level of those of the group retained; and (4) the process of selection produced a residual work force of persons in the groups containing some unprotected persons who were performing at a level lower than that at which he was performing.

Id. at 546. The circuit court held that Petitioner's evidence failed to satisfy either the third or fourth prong of this test. Id. at 546-48.

Petitioner's recent performance problems had led to a significant reduction of his territories prior to Williams' learning that Arts had decided to consolidate the North and South Carolina regions. Therefore, the significant reduction in his territories prior to the August 1990 consolidation kept Petitioner from showing either that he was performing at a level substantially equivalent to the lowest level of those who were retained or that unprotected persons were retained in the residual workforce who were performing at a level lower than Petitioner. Id. Although Petitioner contended his 1989 performance rating had been higher than Finnell's, that rating

had long preceded the July 1990 reduction of Petitioner's responsibilities based on Williams' concerns about Petitioner's performance.⁶

The circuit court next analyzed the record evidence utilizing the proof standards that are ordinarily applicable to civil cases. Under this third analysis, Petitioner's evidence was also found deficient because it did not support any inference of age discrimination.⁷ Id. at 548-50.

⁶ Petitioner did not demonstrate that Finnell or Kiser had any such performance problems. Significantly, Petitioner did not present any evidence comparing himself to Kiser, the only unprotected employee affected by the consolidation. The circuit court correctly noted that a month prior to Petitioner's dismissal, Williams had determined that Kiser was better able to handle a larger number of territories than Petitioner and had transferred three of O'Connor's territories to Kiser. 56 F.3d at 547-48.

⁷ After the district court granted Respondent's motion for summary judgment, Petitioner moved for a new trial based on alleged newly discovered evidence. That evidence consisted of an affidavit from a former employee (Mr. Dennis) regarding an age-related comment allegedly made by Williams. The district court treated this motion as a motion for relief from a judgment under Rule 60(b) of the Federal Rules of Civil Procedure and denied the motion. (R. 69.) The circuit court affirmed this ruling. 56 F.3d at 550. Although this ruling is not before
(continued...)

SUMMARY OF THE ARGUMENT

The circuit court below held that in a discharge replacement case under the ADEA, the McDonnell Douglas model required the Petitioner to show that he was replaced by a person outside of the protected age group in order to raise a reliable inference of illegal age discrimination. This application of the McDonnell Douglas test was appropriate given the context of this case. A reality of life is that as older workers leave the work force and are replaced, the replacements almost always will be younger. Thus, no inference of age discrimination can be drawn from a mere chronological comparison between the ages of a plaintiff and a replacement. The circuit court therefore properly applied an objective test for determining when a difference in age alone can raise a minimal inference of age discrimination using the McDonnell Douglas model for a prima facie case.

More importantly, though, the court did not confine Petitioner to this single proof scheme. Rather, it adopted a flexible approach that permitted Petitioner to establish a prima facie case through any direct or circumstantial

⁷(...continued)
this Court, Petitioner persists in attempting to argue this evidence in his principal brief. (See Petitioner's Brief at 5-6.)

evidence that might establish a stated purpose to discriminate against Petitioner because of his age or that might support an inference that, but for his age, Petitioner would not have been terminated. That approach gave due consideration to Petitioner's evidence of alleged ageist statements and his reliance on comparisons to two younger retained employees who were the focal point of his claim of disparate treatment, even though one of those employees, Finnell, was within the protected age group. The Fourth Circuit's analysis thus enabled Plaintiff to point to the age of his replacement in an effort to show a prima facie case. However, where Petitioner's only probative evidence was that there was an age difference, the court required that he show that the replacement employee was outside the protected age group, since otherwise the inference created was meaningless. This flexible approach provides the most meaningful measure of a prima facie case in ADEA litigation.

The Fourth Circuit properly affirmed the award of summary judgment to Respondent. Petitioner not only was unable to show that Respondent replaced him with someone outside of the protected age group he did not present any direct or circumstantial evidence that allowed a reliable

inference of disparate treatment. In light of these deficiencies, the circuit court's ruling should be affirmed.

ARGUMENT

Petitioner challenges only one of the tests utilized by the Fourth Circuit to determine whether he satisfied a prima facie case of age discrimination. Specifically, Petitioner questions the circuit court's conclusion in this case that he failed to demonstrate a prima facie case under McDonnell Douglas because he did not show that he was replaced by an employee less than 40 years old. Although this Court has not addressed this precise issue, it has recognized that a minimal prima facie showing in a discharge and replacement setting includes evidence of replacement by someone outside the protected class under Title VII.⁸

⁸ In St. Mary's Honor Center v. Hicks, __ U.S. __, 113 S. Ct. 2742, 2747 (1993), this Court observed:

Petitioners do not challenge the District Court's finding that respondent satisfied the minimal requirements of such a prima facie case . . . by proving (1) that he is black, (2) that he was qualified for the position of shift commander, (3) that he was demoted from that position and ultimately discharged, and (4) that the position remained open and was ultimately filled by a white man.

(continued...)

Petitioner's focus on that issue alone, however, oversimplifies the circuit court's analysis of the record evidence. The court below examined whether Petitioner could raise a triable inference of intentional age discrimination using several different proof schemes, all directed at whether Petitioner could establish a prima facie case through any direct or circumstantial evidence that his age was not treated neutrally in the challenged termination decision. This approach was consistent with the usual requirement in these types of cases that the plaintiff carry the initial burden of offering evidence probative of whether the employer based its decision on an illegal factor.

The McDonnell Douglas model used by the court below, and about which Petitioner complains here, was simply one measure of whether Petitioner had met this burden. That model was properly adapted by the court to the facts of this case because Petitioner relied upon his alleged

⁸(...continued)
(emphasis added). See also Texas Dep't of Community Affairs v. Burdine, 450 U.S. 248, 253 n.6 (1981) ("[I]t is not seriously contested that [plaintiff] has proved a prima facie case. She showed . . . she finally was rejected in favor of a male"); and Patterson v. McLean Credit Union, 491 U.S. 164, 186-87 (1989) (black plaintiff replaced by white).

replacement's age to support his claim of alleged disparate treatment.

I. A Prima Facie Case Requires The Introduction Of Facts Sufficient To Establish A Sustainable Inference That The Protected Trait Had A Determinative Role In The Adverse Employment Decision.

This Court has not separately set forth requirements for a prima facie case under the ADEA. However, in McDonnell Douglas, this Court "established an allocation of the burden of production and an order for the presentation of proof in Title VII discriminatory-treatment cases."⁹ Hicks, ___ U.S. at ___, 113 S. Ct. at 2746. McDonnell Douglas also set forth an example of proof scheme for analyzing

⁹ Although this Court has not specifically required that the proof scheme outlined in McDonnell Douglas be applied to claims under the ADEA, various lower courts have applied that model to ADEA cases. See Lovelace v. Sherwin-Williams Co., 681 F.2d 230, 239 (4th Cir. 1982); Smith v. Flax, 618 F.2d 1062, 1066 n.3 (4th Cir. 1980); Loeb v. Textron, Inc., 600 F.2d 1003, 1010 (1st Cir. 1979); and Price v. Maryland Casualty Co., 561 F.2d 609, 612 (5th Cir. 1977).

whether the facts of that case satisfied a prima facie case. However, as this Court later cautioned:

The importance of McDonnell Douglas lies, not in its specification of the discrete elements of proof there required, but in its recognition of the general principle that any Title VII plaintiff must carry the initial burden of offering evidence adequate to create an inference that an employment decision was based on a discriminatory criterion illegal under the Act.

International Brotherhood of Teamsters v. United States, 431 U.S. 324, 358 (1977) (emphasis added). Unfortunately, this Court's directive in Teamsters often has been ignored, and many lower courts have felt constrained to articulate varying incremental proof elements that must be demonstrated in order to establish a prima facie case of employment discrimination. In the process, the inferential quality of a plaintiff's evidence seems frequently overlooked.

At the very least, McDonnell Douglas and its progeny in this Court require evidence that will raise an inference of unlawful discrimination in order to satisfy a prima facie case:

McDonnell Douglas . . . make[s] clear that a . . . plaintiff carries the initial burden of showing actions taken by the employer from which one can infer, if such actions remain unexplained, that it is more likely than not

that such actions were "based on a discriminatory criterion illegal under the Act."

Furnco Constr. Corp. v. Waters, 438 U.S. 567, 576 (1978) (citations omitted) (emphasis added); see also Burdine, 450 U.S. at 253 ("The plaintiff must prove by a preponderance of the evidence that she applied for an available position for which she was qualified, but was rejected under circumstances which give rise to an inference of unlawful discrimination."). The Fourth Circuit clearly follows the Court's guidance. See, e.g., Duke v. Uniroyal, Inc., 928 F.2d 1413, 1418 (4th Cir. 1991), cert. denied, 502 U.S. 963 (1991) ("Under any formulation for establishing a prima facie case, the task of the plaintiff is to prove a set of circumstantial facts which, in the absence of a legitimate non-discriminatory explanation, leads one to conclude with reasonable probability that the adverse employment action was a product of age discrimination.")

A prima facie case is not just an exercise that allows a protected person who has suffered an adverse employment decision to demand an explanation from his employer.¹⁰

¹⁰ Cf. Holley v. Sanyo Mfg., 771 F.2d 1161, 1165-66 (8th Cir. 1985) (ADEA does not entitle that every plaintiff in protected age group (continued...))

Instead, the prima facie burden acts as a filter that allows only those cases that present sufficient facts of a causal connection between a plaintiff's protected status and the adverse employment decision.¹¹ It also provides a basis for a finding of illegal discrimination if the employer is silent. As this Court observed in Burdine:

Establishment of the prima facie case in effect creates a presumption that the employer unlawfully discriminated against the employee. If the trier of fact believes the plaintiff's evidence, and if the employer is silent in the face of the presumption, the court must enter judgment for the plaintiff because no issue of fact remains in the case.

¹⁰(...continued)
to a trial simply because he was discharged during a reduction in force.)

¹¹ "One purpose of the allocation of the burdens of proof and production in [discrimination] actions is to help district courts identify meritless suits and to stop them short of full trial." Steckl v. Motorola Inc., 703 F.2d 392, 394 (9th Cir. 1983). See also Douglas v. Anderson, 656 F.2d 528, 535 (9th Cir. 1981); Kephart v. Institute of Gas Technology, 630 F.2d 1217, 1219-20 (7th Cir. 1980), cert. denied, 450 U.S. 959 (1981)("[i]t is an obvious purpose of the [McDonnell Douglas proof scheme] . . . to stop unsupported . . . suits short of the necessity for a full dress trial.")

Burdine, 450 U.S. at 254 (emphasis added):¹²

Therefore, this Court has earlier clarified that the prima facie case serves an important role in distinguishing between sustainable claims of alleged illegal discrimination and general employment grievances. Galy through the introduction of facts that would sustain an inference of illegal discrimination can a prima facie case serve the important role envisioned by this Court. A lesser showing would not support a judgment of illegal discrimination if the employer is silent. As this Court observed in Hicks:

We [courts] have no authority to impose liability upon an employer for alleged discriminatory employment practices unless an appropriate factfinder determines, according to proper procedures, that the employer has unlawfully discriminated.

113 S. Ct. at 2751 (emphasis in original).¹³ Thus, when an

¹² See also Hicks, ___ U.S. at ___, 113 S. Ct. at 2748 n.3 ("If the finder of fact answers affirmatively -- if it finds that the prima facie case is supported by a preponderance of the evidence -- it must find the existence of the presumed fact of unlawful discrimination and must . . . render a verdict for the plaintiff" if the employer is silent. (emphasis in original)).

¹³ See also Hazen Paper Co. v. Bigging, 507 U.S. ___, 113 S. Ct. (continued...)

employee protected by the ADEA challenges his termination, the prima facie showing must be minimally sufficient to sustain an inference that age had "a determinative influence" on the discharge decision. Hazen Paper, 507 U.S. at ___, 113 S. Ct. at 1706 (emphasis added). What that evidence may be will certainly vary with the type of case, but it is important nonetheless that lower courts test the quality of that evidence to determine if it adequately raises the issue of intentional discrimination such that it can support a verdict for a plaintiff if the employer is silent.

¹³(...continued)
1701, 1706 (1993) ("In a disparate treatment case, liability depends on whether the protected trait (under the ADEA, age) actually motivated the employer's decision.")

II. The McDonnell Douglas Test Applied By The Fourth Circuit Properly Required Petitioner To Demonstrate Facts That Would Sustain An Inference That Age Played A Role In His Discharge.

The analytical framework employed by the Fourth Circuit required Petitioner merely to demonstrate the minimum facts that could create an inference of illegal age discrimination in the discharge/replacement setting that he presented to the court.¹⁴ Only one of the tests the court utilized required Petitioner to demonstrate he was replaced by a non-protected employee. This represented an appropriate model for a McDonnell Douglas test of Petitioner's prima facie case because he focused on the age of his alleged "replacement" for an inference that age was illegally involved in his termination.¹⁵ The Fourth Circuit's

¹⁴ "To establish a 'presumption' is to say that a finding of the predicate fact (here, the prima facie case) produces 'a required conclusion in the absence of explanation' (here, the finding of unlawful discrimination)." Hicks, ___ U.S. at ___, 113 S. Ct. at 2747.

¹⁵ In opposing summary judgment, Petitioner's affidavit pointed to
(continued...)

model merely required Petitioner to introduce evidence that met this Court's consistent requirement that a prima facie case should consist of facts which, if otherwise unexplained, will give rise to a sustainable inference of illegal discrimination.

A. The Fourth Prong Of The Prima Facie Test Applied By The Fourth Circuit Merely Required The Introduction Of Facts That Support An Inference Of Age Discrimination.

In a discharge and replacement fact pattern, it is the fourth prong of a prima facie test which must throw off the necessary inference of illegal discrimination. "The fourth element required to establish a 'prima facie case' of

¹⁵(...continued)

Mr. Finnell, age 40, as his replacement. (R. 55 ¶ 9.) Thus, it was Petitioner who postured his case as a discharge and replacement fact pattern and made the age characteristic of his replacement central to the prima facie inquiry. Petitioner maintained that factual reliance before the circuit court and in his petition for certiorari before this Court. Subsequently, he and the EEOC have tried to distance themselves from any reliance on that allegation as the basis for Petitioner's disparate treatment claim.

discrimination was intended to demonstrate unequal treatment by the relatively objective evidence of replacement by a member of a non-protected class." EEOC v. Western Elec. Co., Inc., 713 F.2d 1011, 1014-15 (4th Cir. 1983). The inference of illegal discrimination is generated by the fact that a non-protected person is somehow favored over a protected person. A sustainable inference cannot be similarly generated merely by a comparison of chronological ages. Numerous courts have applied this analysis in both Title VII and ADEA contexts. See Meinecke v. H & R Block of Houston, 66 F.3d 77, 83 (5th Cir. 1995) ("To establish a prima facie case . . . under Title VII, a plaintiff must prove . . . (4) after being discharged, her employer replaced her with a person who is not a member of the protected class."); Talley v. Bravo Pitino Restaurant, Ltd., 61 F.3d 1241, 1247 (6th Cir. 1995) (Under Title VII, the fourth prong is satisfied "by showing either that the plaintiff was replaced by a person outside of the protected class or that similarly situated non-protected employees were treated more favorably than the plaintiff."); Walker v. Nationsbank of Florida N.A., 53 F.3d 1548, 1556 (11th Cir. 1995) (Under Title VII and ADEA "employee establishes a prima facie case . . . when the employee shows . . . replacement with a person outside the

protected class."); Hughes v. Brown, 20 F.3d 745, 746 (7th Cir. 1994) ("An employee may establish a prima facie Title VII case by showing that . . . his employer treated similarly-situated employees outside his classification more favorably."); and Sondhi v. Lockheed Missiles & Space Co., No. 93-17207, 1995 U.S. App. LEXIS 31263, at *15-16 (9th Cir. Aug. 1, 1995) ("To state a prima facie case . . . under either Title VII or the ADEA, a plaintiff . . . is generally required to show . . . he was replaced by a member of an unprotected class. . . ."). The Fourth Circuit merely applied this logic to the ADEA claim before it.

By focusing on the treatment of protected and unprotected persons when it evaluated the record evidence, the Fourth Circuit followed the framework utilized by Congress in crafting the Act's prohibitions. Congress recognized that a particular class of persons, those 40 and older, should be protected from age discrimination.¹⁶ While the ADEA forbids discrimination based on an individual's

¹⁶ As Senator Javits explained regarding the ADEA:

"Thus, the committee, in my judgment, wisely decided to lower the age limit only to 40, since that is the age where, according to information currently available, age discrimination generally seems to start."

113 Cong. Rec. 31,255 (1967).

age; the Act's prohibitions are limited to individuals who are at least forty (40) years old. 29 U.S.C. § 631(a). Thus, the Act creates a "protected class" and leaves everyone else in an "unprotected class." The emphasis in a disparate treatment case therefore should be on a comparison between plaintiff's treatment as a member of the protected age group and the treatment of similarly situated individuals who are not.

The preamble to the ADEA states that Congress' intention was:

to promote employment of older persons
based upon their ability rather than age; [and]
to prohibit arbitrary age discrimination in
employment. . . .

29 U.S.C. § 621 (emphasis added). Thus, Congress intended to prohibit a particular type of "discrimination" (arbitrary) against a particular class of persons (those whose ages are 40 and older). As this Court explained in Public Employees Retirement System of Ohio v. Betts, 492 U.S. 158, 176 (1989), "Congress recognized that not all age discrimination in employment is 'arbitrary'." This Court thereafter observed in Hazen Paper that disparate treatment of "older" workers was

the essence of what Congress sought to
prohibit in the ADEA. It is the very essence
of age discrimination for an older employee to

be fired because the employer believes that productivity and competence decline with old age. As we explained in EEOC v. Wyoming, 460 U.S. 226, 103 S. Ct. 1054, 75 L.Ed.2d 18 (1983), Congress' promulgation of the ADEA was prompted by its concern that older workers were being deprived of employment on the basis of inaccurate and stigmatizing stereotypes.

___ U.S. at ___, 113 S. Ct. at 1706 (emphasis added).¹⁷ Thus, any measure of a plaintiff's prima facie proof in an ADEA disparate treatment case should focus on whether the plaintiff's evidence creates an inference of this type of "stigmatizing" behavior towards an older employee (i.e., a protected class member).

A mere chronological age comparison, whether between a 56 year old and a 40 year old replacement, or between a 41 year old and a 39 year old replacement will not support this type of minimal inference of illegal age discrimination. The mere comparison of ages, without more,

¹⁷ In EEOC v. Wyoming, this Court observed:

Although age discrimination rarely was based on the sort of animus motivating some other forms of discrimination, it was based in large part on stereotypes unsupported by objective fact.

460 U.S. at 231 (emphasis added). cf. Massachusetts Board of Retirement v. Murgia, 427 U.S. 307, 313-14 (1976).

simply cannot sustain an inference that age had a determinative role in any discharge decision. It is a "truism," or fact of life, that when an older employee leaves the work force, a younger person most likely will replace him. No inference of illegal age discrimination is generated from that fact alone because no disparate treatment exists; instead, a court is merely presented with the fact that an older employee is no longer employed and is replaced by someone who most likely will be younger. Thus, the replacement of an older employee with a younger person alone will not support a conclusion that it is reasonably probable that an adverse employment action was the product of illegal age discrimination.

The Fourth Circuit is not unique in this analytical approach. As the Sixth Circuit observed in Laugesen v. Anaconda Company, 510 F.2d 307, 313 n.4 (6th Cir. 1975):

The progression of age is a universal human process. In the very nature of the problem, it is apparent that in the usual case, absent any discriminatory intent, discharged employees will more often than not be replaced by those younger than they, for older employees are constantly moving out of the labor market while younger ones move in. This factor of progression and replacement is not necessarily involved in cases involving the immutable characteristics of race, sex and national

origin. Thus, while the principal thrust of the Age Act is to protect the older worker from victimization by arbitrary classification on account of age, we do not believe that Congress intended automatic presumptions to apply whenever a worker is replaced by another of a different age.

*Id.*¹⁸ Thus, an ADEA plaintiff in a discharge case must present other evidence which satisfies this Court's minimal prima facie requirements as underscored in Burdine, Furnco and Teamsters.

Petitioner mistakenly argues that the Fourth Circuit's approach allows the courts to "craft an . . . exception allowing discrimination whenever the favored employee is

¹⁸ The Fourth Circuit has also recognized that the natural progression of age impacts how particular evidence should be reviewed in an ADEA case. Thus, in Smith v. Flax, 618 F.2d 1062, 1066 (4th Cir. 1980), the court rejected the argument that particular age-related statements were evidence of an illegal motive:

There was testimony that Barbeau and others had made statements such as that the Division's future lay in its young Ph.D's, and that all employees at some time reached the peak in efficiency. Rather than indicating a discriminatory purpose, however, such statements seem only truisms. In any enterprise, today's juniors will be tomorrow's seniors. Today's seniors can help create a foundation for tomorrow's growth and prosperity, but future realization of the potential of an enterprise lies principally with those who will be in positions of leadership and responsibility in the future.

within the same protected class as the discrimination complainant."¹⁹ (See Petitioner's Brief at 19.) However, this argument fails upon minimal inquiry.

The Fourth Circuit has never foreclosed a plaintiff from establishing a claim of age discrimination simply

¹⁹ Petitioner and his amici contend that isolated statements from the legislative history to the ADEA and the EEOC's interpretive regulations establish that a disparate treatment case can be premised upon a comparison of the plaintiff to a younger replacement, even if the younger replacement also is more than 40 years old. (See Petitioner's Brief at 19-20.) However, the cited legislative history and regulations do not support Petitioner's argument because they are unrelated to the narrow issue before this Court -- specifically, the sufficiency of evidence required to establish a prima facie case of age discrimination under McDonnell Douglas. Instead, they address only the ultimate question of discrimination and merely recognize that age discrimination can exist even when the person hired to replace the claimant is himself within the protected class. The Fourth Circuit's McDonnell Douglas test is consistent with both the regulation and the legislative history cited by Petitioner and his amici. In any event, it is noteworthy that the McDonnell Douglas proof scheme is a judicially-created allocation of the burdens of proof for a discrimination. The legislative history and regulations cited by Petitioner are totally unrelated to the character of proof that a court should require to raise an inference of illegal discrimination. Therefore, they are unrelated to the issue before the Court and do not support Petitioner's argument.

because the replacement was within the protected class. The fact that an intra-group age comparison, without more, is insufficient to support a prima facie inference of illegal age discrimination does not logically equate to a complete ban on the ability of a 68-year-old to demonstrate he was discriminated against because of his age. Such a plaintiff might establish a claim, for example, by pointing to similarly situated employees outside the protected class who were treated more favorably under similar circumstances, to a pattern of adverse employment decisions affecting persons 40 or older, or to ageist comments having a sufficient nexus to the challenged employment decision.

The fact that a 68 year old's replacement happens to be 42, for example, does not compel any court to ignore other evidence -- when it exists -- to satisfy a plaintiff's burden of showing an inference of illegal age discrimination. The Fourth Circuit has never so held, either in this case or any other case. In fact, none of the various circuit courts which require that a plaintiff point to a replacement outside of the protected class in order to state a prima facie case have taken that approach.²⁰ Yet this is precisely what Petitioner's argument suggests.

²⁰ See cases summarized supra at pp. 21-22.

The McDonnell Douglas proof scheme is not the only method of establishing an age claim, nor is pointing to the age of a replacement the only way to establish a prima facie inference of age under McDonnell Douglas. Thus, Petitioner's argument that the Fourth Circuit's model would create some sort of exception under the ADEA that insulates employers from liability so long as they replace a protected employee with another protected individual is not only incorrect, it mischaracterizes the prima facie models utilized by several circuit courts.

**B. The Prima Facie Model Suggested By
Petitioner Incorrectly Allows A Prima Facie
Case Without Any Evidence Age Played A
Role In The Challenged Decision.**

Petitioner and amicus EEOC have proposed for the first time here that Petitioner's evidence should have been analyzed using the precise four elements stated in McDonnell Douglas.²¹ They contend that the courts below should have

²¹ As outlined by Petitioner in his brief: "These reasons are sufficiently similar in a replacement case and a failure to rehire case such as McDonnell Douglas that the same prima facie showing should obtain (continued...)"

determined that he satisfied the fourth prong of those particular criteria because Respondent had a continuing need for a district manager over Petitioner's former territories following his layoff. They also argue that McDonnell Douglas did not require Petitioner to present any more specific evidence about the characteristics of his replacement or about the ultimate issue of discrimination.²² There are at least two major problems with these arguments.

²¹(...continued)
in each case." (See Petitioner's Brief at 16.) Petitioner forgets that this Court earlier noted that "[t]he importance of McDonnell Douglas lies not in its specification of the discrete elements of proof there required. . . ." Teamsters 431 U.S. at 358 (emphasis added).

²² Petitioner's Brief p. 21 states:

The prima facie case is the initial showing by the employee, sufficient merely to require an explanation. Importing into it a requirement of showing characteristics of the replacement, or other evidence of discrimination, will compromise its simplicity and invite making it the battleground for the whole case.

(emphasis added). Neither Petitioner nor the EEOC, which also submitted an amicus brief below, raised this argument before the circuit court. Rather, they argued below that the age of the alleged replacement was an important factor in Petitioner's prima facie case. Petitioner and the EEOC should not be allowed to raise this argument for the first time in this Court having taken a contrary position below.

Perhaps most conspicuously, Petitioner ignores the important role that the prima facie burden plays in all discrimination cases. It requires a plaintiff to present sufficient evidence to create an inference of illegal employment discrimination. This Court observed in Hazen Paper that "[i]n a disparate treatment case, liability depends on whether the protected trait (under the ADEA, age) actually motivated the employer's decision." 507 U.S. at ___, 113 S. Ct. at 1706. Thus, an ADEA plaintiff's prima facie case should contain some evidence that demonstrates this sort of nexus;²³ otherwise the standard for a prima facie case becomes virtually meaningless. This Court has already clarified that a more meaningful first step must be taken towards the ultimate issue of illegal discrimination in order to shift the burden of production to the employer. Merely pointing to the fact that the employer continued to need the job functions in question does not infer any age nexus in the context of a discharge/replacement case, like the one here, in which the Petitioner's own proof focused on the fact that someone with a different age was retained. That is the way Petitioner framed his disparate treatment claim, and the

²³ See discussion supra at 13 to 19.

circuit court properly applied a McDonnell Douglas model that measured that sort of claim.

Petitioner's analysis also ignores this Court's and numerous other courts' admonitions against a formalistic or "cookie-cutter" application of the McDonnell Douglas model when judging prima facie proof. The particular proof elements articulated in McDonnell Douglas are not inflexible, nor applicable to all cases. As this Court declared more than twenty-two years ago:

"The facts necessarily will vary in Title VII cases, and the specification . . . of the prima facie proof required from [plaintiff] in this case is not necessarily applicable in every respect to differing factual situations."

McDonnell Douglas, 411 U.S. at 802 n.13 (emphasis added). See also Furnco, 438 U.S. at 577 ("[t]he method suggested in McDonnell Douglas . . . was never intended to be rigid, mechanized, or ritualistic." (emphasis added)); and Burdine, 450 U.S. at 253 n.6 ("this standard is not inflexible"). Thus, this Court has never held that the precise four proof elements used in McDonnell Douglas must be applied to all claims or all fact patterns (and should not do so here). Rather, this Court has required the opposite. The elements of a prima facie case that will sustain an inference of illegal discrimination may in fact differ depending on the nature of

the discrimination claim (e.g., race, sex, age) and the particular type of employment decisions being challenged (e.g., hiring, promotion, termination). See Sanchez v. Puerto Rico Oil Co., 37 F.3d 712, 719 (1st Cir. 1994) ("it is important to remember that the contours of a prima facie case are flexible and situation - specific.").

This sort of flexibility is particularly appropriate in ADEA cases. Various federal courts have recognized the uniqueness of the ADEA. For instance, the Sixth Circuit applies a case-by-case approach in age discrimination cases, rejecting a mechanical or automatic application of the McDonnell Douglas guidelines in ADEA cases. See, e.g., Blackwell v. Sun Elec. Corp., 696 F.2d 1176, 1179 (6th Cir. 1983). In Laugesen, the court similarly observed that the legislative history to the Act supported this sort of flexible approach. There the court identified Congress' special concerns for application of the ADEA:

It is also evident from the [House] Report, that Congress did not desire that the Act be applied formalistically:

"The case by case basis should serve as the underlying rule in the administration of the legislation. Too many different types of situations in

employment occur for the strict application of general prohibitions and provisions."

The foregoing language suggests that perhaps the more strict approach which is evident in the treatment of a Title VII race discrimination case in McDonnell Douglas v. Green may not be desirable here.

510 F.2d at 313 n.4 (quoting 1967 U.S. Code Cong. and Adm. News at 2219-20).

The absurdity of Petitioner's argument is fully illustrated by the juxtaposition of his argument with this Court's analysis in Hicks. Under Petitioner's proposed "simplified" prima facie case, a factfinder that determines an employee has proven by a preponderance of the evidence that he was 40 or over, that he was minimally qualified for his position, that he was terminated and that, thereafter, his employer continued to seek to fill his job, would be compelled to render a verdict for the plaintiff if the employer remains silent. See Hicks, ___ U.S. at ___, 113 S. Ct. at 2748 n.3.²⁴ Thus, Petitioner's proposed prima facie model would require a finding of illegal age discrimination where there is no hint age played any role in the challenged employment decision. That result flies in the face of Hicks.

²⁴ Compare Petitioner's Brief at 21.

Burdine, Furnco and Teamsters, and cannot be reconciled with this Court's admonition in Hazen Paper that "[i]n a disparate treatment case, liability depends on whether the protected trait (under the ADEA, age) actually motivated the employer's decision." 507 U.S. at ___, 113 S. Ct. at 1706.

C. Summary.

The Fourth Circuit properly employed a flexible analytical model that required Petitioner's prima facie case to contain at least some evidence from which one could infer that Respondent discriminated against him because of his age. That minimal evidence could have included evidence that Respondent retained an employee less than 40 years old in the job in question or any other circumstantial or direct evidence that Petitioner's age motivated the decision to terminate his employment. The mere fact, as Petitioner argued below, that someone younger was retained or, as Petitioner now argues, that Respondent continued to have a need for a position similar to the position Petitioner previously held is too nebulous to have created that sort of minimal inference required under this Court's precedents.

III. The Fourth Circuit Correctly Decided The Ultimate Issue Because There Is No Evidence Age Played Any Role In Defendant's Decision; Therefore Remand Is Unnecessary.

"[T]here is no disparate treatment under the ADEA when the factor motivating the employer is some feature other than the employee's age." Hazen Paper, 507 U.S. at ___, 113 S. Ct. at 1705. Therefore, in order to establish a prima facie case under the ADEA, a claimant must introduce some evidence that raises an inference of a causal nexus between the claimant's age and the challenged employment decision. "Whether a prima facie case has been established is a fact specific inquiry: Would an ordinary person reasonably infer discrimination if the facts presented remained unrebutted?" Walker, 53 F.3d at 1556 n.12 (emphasis added).

In the present case, the Fourth Circuit satisfied the role any court must fulfill when evaluating whether an age discrimination claimant has minimally satisfied a prima facie case. It fully examined whether Petitioner had developed sufficient facts to sustain an inference of a causal connection between the claimant's age and the adverse employment decision. The court determined that Petitioner's evidence

failed to raise any inference that Petitioner had been the victim of intentional age discrimination.

In part II.A. of its opinion, the circuit court held that Petitioner could not establish an inference of discrimination based solely on the age of his alleged replacement. However, the court's analysis did not end there. In Parts II.B., and III. of its opinion, the circuit court reviewed the record evidence proffered by Petitioner and held that it did not establish a prima facie case.²⁵

The Fourth Circuit's analysis exhibited the flexibility envisioned by this Court in McDonnell Douglas. The court sought to determine if Petitioner could show that following his discharge he was replaced by someone of comparable qualification outside the protected class or whether there existed some other evidence indicating the employer did not treat age neutrally. That approach allowed Petitioner every

²⁵ Even if the record evidence had satisfied the fourth prong of the Fourth Circuit's McDonnell Douglas test, Petitioner still could not have established a prima facie case under McDonnell Douglas. As fully outlined in the opinion of the Fourth Circuit, and the amicus brief of the Equal Employment Advisory Council, Petitioner could not demonstrate he was performing at a level which satisfied his employer's legitimate expectations at the time of the challenged decision. Thus, he could not satisfy the third prong of the McDonnell Douglas test.

opportunity to establish a prima facie case; however, the record facts were simply insufficient to sustain a minimal inference of illegal age discrimination.²⁶ Accordingly, the decision of the Fourth Circuit should be affirmed.

CONCLUSION

Based on the foregoing arguments and authorities, the Fourth Circuit correctly decided this case. Even though the McDonnell Douglas test is perhaps overly formalistic for use in an ADEA discharge replacement case, the objective, "bright line" measure employed as the fourth prong of that test here provided the most objective measure of whether the fact of Petitioner's alleged replacement's age was enough to

²⁶ As in any other form of civil suit, a plaintiff in an ADEA suit has the burden of proof. Thus, when confronted with a summary judgment motion, the ADEA plaintiff cannot rest on his pleadings, but must demonstrate specific, material facts that raise a genuine issue. Celotex Corp. v. Catrett, 477 U.S. 317, 324 (1986). The "mere existence of a scintilla of evidence in support of the plaintiff's position will be insufficient; there must be evidence on which the jury could reasonably find for the plaintiff." Anderson v. Liberty Lobby, Inc., 477 U.S. 242, 252 (1986). Petitioner's simply did not meet this burden in the present case because his evidence did not raise a genuine issue of age discrimination against him.

raise an ADEA issue. More importantly, though, the Fourth Circuit focused on whether Petitioner, through any method of proof typically employed in a civil suit, had raised an inference that, but for his age, he would not have been terminated. Petitioner's case proved deficient regardless of the measure employed.

Dated this 1st day of February, 1996.

Respectfully submitted,

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APPENDIX

APPENDIX

The Age Discrimination in Employment Act (ADEA),
29 U.S.C. § 621, et seq., provides, in part:

§ 621. Congressional statement of findings and purpose

(a) The Congress hereby finds and declares that --

(1) in the face of rising productivity and affluence, older workers find themselves disadvantaged in their efforts to retain employment, and especially to regain employment when displaced from jobs;

(2) the setting of arbitrary age limits regardless of potential for job performance has become a common practice, and certain otherwise desirable practices may work to the disadvantage of older persons;

(3) the incidence of unemployment, especially long-term unemployment with resultant deterioration of skill, morale, and employer acceptability is, relative to the younger ages, high among older workers; their numbers are great and growing; and their employment problems grave;

(4) the existence in industries affecting commerce, of arbitrary discrimination in employment

because of age, burdens commerce and the free flow of goods in commerce.

(b) It is therefore the purpose of this chapter to promote employment of older persons based on their ability rather than age; to prohibit arbitrary age discrimination in employment; to help employers and workers find ways of meeting problems arising from the impact of age on employment.